

The impact of US tariffs on the US watch luxury market:

A blessing in disguise for some brands?

Caroline Zirakzadeh

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Abstract:

The sweeping US tariffs imposed on Swiss goods in 2025 (peaking at 39% before settling at 15% in November) did not destroy the American watch market. Instead, they acted as a catalyst for structural realignment: the most prestigious brands raised suggested retail prices, compressed their authorized dealers' margins, and emerged with stronger economics than before. Mid-tier brands lacking equivalent pricing power bore a disproportionate share of the pain. This article traces the tariff timeline, documents brand-by-brand price increases from April to December 2025, examines how the cost was distributed across the value chain, and analyzes why Patek Philippe's decision to reverse (partially) both its price increases and its dealer margin cuts (uniquely among major Swiss brands) makes it the exception that proves the rule.

Keywords: watch business; FH exports; US market; luxury pricing; US tariffs; margins; purchasing power, Rolex; Patek Philippe

Introduction

When President Trump announced sweeping "reciprocal" tariffs on April 2, 2025, the Swiss watch industry braced for catastrophe. A 31% levy, subsequently raised to 39% on August 7, 2025, on all Swiss goods seemed certain to devastate what had been a resilient American market. The reality was more nuanced: tariffs did not destroy the US watch market, but they altered some of its power dynamics, rewarding the strongest brands while squeezing their retailers and pricing out the middle tier.

A Year of Distorted Export Figures

According to the Federation of the Swiss Watch Industry (FH, 2025), Swiss watch exports to the United States surged by +149% in April 2025 alone, not because of booming consumer demand, but because brands and distributors raced to ship inventory ahead of the tariff implementation. This artificial frontloading was followed by brutal corrections: -25.3% in May, -55.6% in September, and further double-digit declines through November. For the full year 2025, Swiss watch exports to all markets totaled CHF 25.6 billion: a decline of 1.7% versus 2024 (FH, 2026). Yet the United States ended the year as Switzerland's single largest watch export market with a full-year change of only -0.5% (FH, 2026). The headline figures greatly exaggerated both the boom and the bust: underlying US demand for high-end Swiss watches proved far more resilient than the export charts implied.

The retail picture confirms this. Watches of Switzerland, the largest seller of Rolex, Omega, and Cartier in America, reported US revenue up 20% in constant currency for the six months to October 2025, with waiting lists for key brands continuing to grow throughout the tariff turmoil (Euronews, 2025). Demand for the most desirable references consistently exceeded supply, regardless of what tariffs were doing to the price tags.

The Tariff Timeline and Price Increases

The saga unfolded in two waves. When the 10% baseline tariff took effect in early May 2025, most major brands responded with immediate price increases: Rolex raised US prices by approximately 3%; Omega by an average of 5%; and Blancpain by 10% (Barrington Watch Winders, 2025). Then, after the 39% tariff was triggered on August 7, a second wave followed in September. Patek Philippe raised US retail prices by approximately 15%, its largest single adjustment in the modern era (SRK Haute Horlogerie, 2025; WatchPro, 2025a). Cartier and other Richemont brands, Swatch Group brands, and brands including Breitling and TAG Heuer applied increases ranging from 5% to 15% (WatchPro USA, 2025b). Rolex and Audemars Piguet, characteristically restrained,

chose not to implement a further round of increases after August, instead absorbing part of the cost between their Swiss headquarters and US subsidiaries, a choice available only to brands with the operating margins and brand equity to sustain it (WatchPro USA, 2025b).

Cumulatively across 2025, Patek Philippe's US prices rose by approximately 22%. At the 15% tariff agreed between Switzerland and the United States in November 2025, LuxeConsult founder Oliver R. Müller estimated that most manufacturers had already priced in the cost, meaning the tariff reduction translated into margin recovery for brands, rather than relief for consumers (TheStreet, 2025).

Squeezing the Retailers: The Margin Cut

The tariff episode exposed a structural truth about the Swiss watch industry: strong brands did not simply absorb costs or pass them fully to consumers: they distributed the pain strategically across the entire value chain, and their authorized dealers bore a significant share. According to WatchPro's reporting based on direct industry sources, almost all major Swiss watch manufacturers raised US retail prices in May (at 10% tariffs) and again in September (at 39% tariffs). Critically, on both occasions, most brands simultaneously trimmed the percentage margins of their authorized dealers so that the cost burden was shared between manufacturer, US distribution arm, retail partners, and consumers (WatchPro USA, 2025b).

WatchPro columnist Rob Corder confirmed that Rolex, Omega and Patek Philippe (and many others) trimmed dealer margins in 2025, and predicted that major Swiss watchmakers would pursue the same playbook in 2026, observing that “none of their authorized dealers would squeal,” given the commercial dependence of retailers on these allocations (WatchPro / Corder, 2025). Swatch Group was reported to have capped consumer price increases at 6–10%, effectively forcing its authorized dealers to absorb the remainder through thinner margins (DMARGE, 2025).

In this context, the behavior of Patek Philippe after the tariff reduction was nothing short of remarkable and, critically, unique. Effective February 1, 2026, Patek reduced US retail

prices by up to 8% and simultaneously restored dealer margins by 3–4 percentage points (SRK Haute Horlogerie, 2026; WatchPro, 2025a). This was only a partial adjustment in comparison to the changes made in 2025, yet no other major brand followed suit. Rolex implemented an average 7% price increase on January 1, 2026; Audemars Piguet raised prices by a similar amount (Gear Patrol, 2026). The luxury watch industry has a well-established reflex: once prices go up, they do not come back down. Patek's reversal (restoring both retail prices and retailer margins when the tariff context changed) stands as a singular act of (partial) commercial fairness toward its retail network, with so far no parallel among its peers. It is also worth mentioning that Patek most likely also miscalculated by increasing prices so heavily in 2025 but nevertheless, its restoring of retailer margin (even if partial) stands out.

The Winners and the Struggling

The tariff crisis made the industry's structural polarization impossible to ignore. At the top, brands with exceptional desirability navigated the storm flawlessly. Rolex faced no meaningful demand destruction from higher prices. Audemars Piguet and Richard Mille, with their similarly constrained supply and ultra-high price points, were equally insulated. These are brands whose customers do not comparison-shop; a 7–10% price increase is simply absorbed as part of the cost of access (Morgan Stanley / WatchCharts, 2025). For these houses, the tariff was not a crisis but an opportunity: it provided cover for price increases that would likely have faced more scrutiny in a normal market environment, and it compressed retailer margins in a way that permanently improves brand economics. According to Morgan Stanley and Luxe Consult's 2025 Swiss watch market report, the four largest privately-owned brands — Rolex, Patek Philippe, Audemars Piguet, and Richard Mille — now hold 49.1% of the Swiss watch market by value, having gained over 10 percentage points since the pre-pandemic era (Morgan Stanley / WatchCharts, 2025).

The brands that struggled were those in the \$ 1,000–3,000 segment: watches often purchased with a year-end bonus or salary, where an additional 10–22% on the price tag is genuinely felt by the buyer. As IMD's analysis of the sector concluded, this segment is

most vulnerable to tariff-driven price inflation, because customers in this bracket have alternatives, including pre-owned watches or simply deferring the purchase (IMD, 2025). Brands such as TAG Heuer, Oris, Baume & Mercier, operate on far thinner margins than the Grandes Maisons and lack the pricing power to fully offset duty costs through retail price increases alone. Without the brand desirability to sustain aggressive price hikes, and without the margin buffer to absorb them quietly, these brands were caught in the most difficult position: raising prices enough to protect profitability, but at the risk of pricing themselves out of a market that was, for them, genuinely price-sensitive (AlInvest, 2025).

Conclusion: When Adversity Favours the Strong

Tariffs are usually analyzed as a blunt instrument of economic damage, and for much of the Swiss watch industry, the 2025 episode was exactly that. But viewed through the lens of competitive dynamics, the tariff shock did something more interesting: it accelerated a structural shift that was already underway, concentrating market share and pricing power in the hands of the brands that needed protection least.

The strongest brands such as Rolex, Patek Philippe, Audemars Piguet, Cartier, Omega used the tariff environment to raise suggested retail prices, reduce dealer margins, and improve their operating economics, all under cover of a force majeure that made the moves politically defensible. Their customers barely noticed. Their retailers had no choice but to accept. And when the tariff eventually fell, the price increases and cuts to retailers' margins stayed (with the partial Patek exception mentioned above). The tariffs, paradoxically, were a gift to the brands best positioned to exploit it, widening the gap between the elite and the rest of the industry at a moment when that gap was already at a historic high.

Note: article researched and written before the Supreme Court's ruling in February 2026

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